

Solvency II Asset Classification Gap

Problem

Insurance clients request Solvency II asset categories for newly issued hybrid instruments.

Regulatory Requirements

Solvency II, regulatory reporting.

Options Considered

A: Use generic bond category. B: Review hybrid features. C: Leave unclassified.

Decision

Review hybrid features before classification.

Reasoning

Insurance capital reporting depends on precise instrument classification.

Risks

Delayed reporting, capital misstatement, methodology challenge.